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KEKI MISTRY, WHO stepped down as Vice Chairman and CEO of Housing Development Finance Corp (HDFC) following its merger with HDFC Bank two years ago, has been hoisted back into the hot seat at the country's most valued lender following the sudden resignation of part-time chairman Atanu Chakraborty.

48 | Mistry, as interim chairman, will have to restore confidence among shareholders, accountholders and the financial market community. Chakraborty's resignation letter had cited differences over values and ethics. "Certain happenings and practices within the bank, that I have observed over last two years, are not in congruence with my personal values and ethics. This is the basis of my aforementioned decision," he wrote in his resignation letter, disclosed by the bank in a late stock exchange filing on March 18. He said there were no other material reasons for his decision.

"Given the specific context of a bank, that too India's largest private sector bank, these words carry weight. Banks are by nature opaque and leveraged. The near-automatic instinct to assume the worst is understandable," says Santanu Chakrabarti, Director and Head of Research for Banking and

Financial Services at BNP Paribas Securities India.

At the March 18 board meeting where Chakraborty quit, some members tried to persuade him to elaborate his concerns or change some of the language of his resignation letter. After the meeting, two whole-time members and two independent directors headed to the Reserve Bank of India (RBI) to inform the regulator of the developments. Given that HDFC is one of several systemically important banks, RBI acted swiftly; Mistry was appointed for three months.

The banking industry runs on trust. When the chairman of the country's top private bank quits over values and ethics, it's bound to shake investor confidence. The swift appointment of veteran banker Mistry and the board's unequivocal backing of the lender's governance practices got a thumbs-up from analysts but failed to calm investors. Since March 18, HDFC Bank shares have slumped 13% (as on March 30), underperforming the NSE Nifty 50, which has fallen 5.4%, and the Bank Nifty, down 9%.

The management, including the directors, say Chakraborty did not point out anything specific. "In an institution as large as the bank, small issues keep cropping up, but there is nothing substantive enough to understand why Chakraborty resigned and issued the letter," Mistry said, trying to assure stakeholders that governance is the most important priority for the HDFC Group. "There was no clarity from the chairman. If you are saying things as serious as lack of ethics, you have to give specific instances. That's the disconnect," says a senior banking industry executive.

There have been murmurs of differences between the chair-

THE STORY SO FAR

- 1** Atanu Chakraborty, the part-time chairman, resigned last month saying certain practices in the bank were not in congruence with his values and ethics.
- 2** HDFC Bank was quick to appoint former vice-chairman of HDFC, Keki Mistry, as interim chairman. The RBI approved his appointment for three months.
- 3** While Chakraborty did not specify the issues in his resignation, in a TV interview, he flagged goings-on at HDFC Bank's Dubai branch.
- 4** The abrupt resignation of Chakraborty led to a sell-off in shares of HDFC Bank even as the country's second-largest lender stressed there were no operational issues.
- 5** The bank has appointed external law firms to conduct an independent investigation into Chakraborty's resignation.
- 6** Corporate governance experts have called on the bank to come clean on the issues raised by Chakraborty.